

In the midst of this environment (indeed, in a reflection of it), the wave structures of the investment markets and certain components of the economy indicate that the long, wonderful upward phases dating from 1987, 1982, 1974, 1932 and 1784 are at long last drawing to a close. A dozen years ago, while resolutely maintaining its focus on the bull market, *The Elliott Wave Theorist* painted this advance scenario of the ultimate resolution, which is what we face today:

If all goes according to expectations, the last remaining question is, what happens after wave V tops out? The Wave Principle would recognize the 3686 top as the end of wave V of (V), the peak of a Grand Supercycle that stretches all the way back to [1784]. At that point, the most devastating stock price decline in United States history will ensue: a Grand Supercycle bear market that would then "correct" all the progress dating from the late 1700s. It is expected to be so severe that a worldwide monetary and economic collapse will most certainly follow on its heels. The downside target zone would be the price area (ideally near the low) of the previous fourth wave of lesser degree, wave (IV), which fell from 386 to 41 on the Dow. Government bonds and most corporate bonds will then be on the verge of a collapse to worthlessness as the bond market comes face to face with the reality that increasingly greater long term debt cannot be serviced at double digit interest rates, no matter what the government or the economy does. Worldwide banking failures, government bankruptcy, and eventual destruction of the paper money system might be plausible [results of] a bear phase of this magnitude. Since armed conflicts often occur after severe financial crises, one would have to consider the possibility that the collapse in value of financial assets of this magnitude would presage war between the superpowers.

The above paragraph, taken from the April 6, 1983 and April 3, 1984 issues of *The Elliott Wave Theorist*, remains a succinct summary of the Elliott Wave outlook today. You can stop reading now if you wish, as the rest of this book is simply an elaboration of that description and the reasons behind it. Nevertheless, it is *time* for this elaboration. While a dozen years ago *The Elliott Wave Theorist* said, "Let's forget the 'crash' part of our forecast and concentrate on the bull market part," *it is finally time to turn our attention fully to the crash part.*